

model. While the first phase of Meesho's dramatic rise in India's e-commerce landscape was funded by VC dollars and an unbridled optimism around the new economy, the next phase must be self-borne. Can it get there?

Meesho Co-founder and CEO Vinit Aatrey is unfazed by the funding slowdown, and refutes claims that his firm has struggled to raise an external round since September 2021. For the record, Meesho's last fund-raise was a \$570-million Series F round led by Fidelity and B Capital Group, valuing it at \$4.9 billion—six months after its unicorn round of \$300 million led by SoftBank Vision Fund. Between August 2019 and September 2021, Meesho's valuation zoomed from \$700 million to \$4.9 billion, according to Tracxn, a private markets database.

"We are fortunate that we raised a substantial amount of money in 2021, much more than we needed. We have more than enough in the bank, and can keep running the business in a very healthy manner for many years. There is a good likelihood that our next round [of financing] would be an IPO. But the plan in 2023 is to get to profitability as quickly as possible," says Aatrey.

Prosus Ventures (earlier Naspers), one of Meesho's key shareholders since 2019, echoes Aatrey's quest for profitability. "Meesho has enough cash now... and there is no immediate need to raise money... It is on track to get to Ebitda profitability very soon. And by soon, I mean months, not years," says Ashutosh Sharma, Head of Investments for India at Prosus.

EBB AND FLOW

While attaining profitability may be a key focus in 2023, Meesho's last reported financial results suggest that the company is far from it. Its losses surged 6.5x to ₹3,247 crore in FY22 on account of increased expenditure, as it rushed to acquire customers in a bid to emerge as India's third e-commerce alternative after Flipkart and Amazon. Not only did it splurge on promotional campaigns, it also saw a rise in its employee costs as it rolled out fancy benefits, insurance packages, ESOPs, and more.

Overall, Meesho's FY22 expenses jumped 5x to ₹6,607 crore from ₹1,337 crore in FY21. Its revenues during the period grew 4.5x to ₹3,232 crore and its transacting user base reached 140 million riding on pandemic tailwinds. The growth was also partly triggered by Meesho's pivot from an earlier reseller-based model to pure-play e-commerce (like its larger competitors).

In the earlier model, intermediary sellers (mostly homemakers from India's small towns) placed bulk orders on Meesho, added margins, and re-sold the products to end customers via their social media networks. This tried-and-tested model of 'social commerce' has



THE MONEY TRAIL

Meesho, one of India's most-funded start-ups, has raised over \$1 billion till date

- **MAY 2016**
- **\$350,000**
- **ANGEL ROUND**
- INVESTOR
RAJUL GARG (LEO CAPITAL)

- **JULY 2016**
- **\$120,000**
- **SEED ROUND**
- INVESTOR
Y COMBINATOR

- **AUG 2016**
- **UNDISCLOSED**
- **SEED ROUND**
- INVESTOR
VENTURE HIGHWAY

- **OCT 2017**
- **\$3.44 MILLION**
- **SERIES A ROUND**
- INVESTOR
ELEVATION CAPITAL

- **JUNE 2018**
- **\$11.5 MILLION**
- **SERIES B ROUND**
- INVESTOR
SEQUOIA CAPITAL

- **NOV 2018**
- **\$50 MILLION**
- **SERIES C ROUND**
- INVESTORS
SHUNWEI CAPITAL, RPS

VENTURES, DST PARTNERS

- **JUN 2019**
- **\$25 MILLION**
- **SERIES D ROUND**
- INVESTOR
FACEBOOK

- **AUG 2019**
- **\$100 MILLION**
- **SERIES D ROUND**
- INVESTORS
NASPERS (NOW PROSUS VENTURES), RPS GROUP

- **APR 2021**
- **\$300 MILLION**
- **SERIES E ROUND**
- INVESTORS
SOFTBANK VISION FUND, PROSUS

- **SEP 2021**
- **\$570 MILLION**
- **SERIES F ROUND**
- INVESTORS
FIDELITY INVESTMENTS, B CAPITAL GROUP

MEESHO'S FUNDING ROUNDS; SOURCE TRACXN, COMPANY ANNOUNCEMENTS

ILLUSTRATION BY RAJ VERMA